

**SUBSTITUTE FOR
HOUSE BILL NO. 5806**

A bill to amend 1967 PA 281, entitled
"Income tax act of 1967,"
(MCL 206.1 to 206.847) by adding sections 279 and 679.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 **Sec. 279. (1) Except as otherwise provided under this section,**
2 **for tax years that begin on and after January 1, 2027, a qualified**
3 **taxpayer with an eligibility statement and named in an allocation**
4 **report required under section 22e of the state housing development**
5 **authority act of 1966, 1966 PA 346, MCL 125.1422e, may, in a form**
6 **and manner as determined by the department, claim a housing**
7 **opportunity tax credit against the tax imposed under this part**
8 **equal to the lesser of the amount stated in the eligibility**
9 **statement for the applicable tax year or the qualified taxpayer's**



1 allocated share stated on the allocation report for the applicable
2 tax year. A qualified taxpayer claiming a housing opportunity tax
3 credit under this section shall attach a copy of the eligibility
4 statement to the annual return filed under this part on which a
5 housing opportunity tax credit under this section is claimed.
6 However, if the owner of the qualified project for which an award
7 was approved has submitted a final cost certification and a request
8 for an eligibility statement to the authority, but the authority
9 has not yet approved the final cost certification and issued the
10 eligibility statement for the housing opportunity tax credit prior
11 to the qualified taxpayer filing its annual return under this part
12 on which a housing opportunity tax credit is claimed under this
13 section, the qualified taxpayer may claim the housing opportunity
14 tax credit based upon the amount of the housing opportunity tax
15 credit set forth in the reservation letter issued under section 22e
16 of the state housing development authority act of 1966, 1966 PA
17 346, MCL 125.1422e, for that qualified project. The qualified
18 taxpayer shall attach a copy of the reservation letter to that
19 annual return. Once the eligibility statement is issued, if the
20 amount of the housing opportunity tax credit allowed under that
21 eligibility statement is different than the reservation letter and
22 the amount actually claimed on the annual return for that same tax
23 year, then the qualified taxpayer must file an amended return to
24 adjust the amount of the housing opportunity tax credit claimed
25 accordingly and attach a copy of the eligibility statement to that
26 amended return. Alternatively, if the eligibility statement has not
27 been issued by the authority before the end of the qualified
28 taxpayer's tax year to which the housing opportunity tax credit
29 relates, the qualified taxpayer may defer claiming the housing



1 opportunity tax credit that tax year and claim the housing
2 opportunity tax credit on a tax return for the tax year in which
3 the authority issued the eligibility statement.

4 (2) If any portion of a federal low-income housing tax credit
5 claimed for a qualified project for which a housing opportunity tax
6 credit is also claimed under this section is required to be
7 recaptured or is otherwise disallowed during the credit period
8 under section 42 of the internal revenue code as reported under
9 section 22e(7) of the state housing development authority act of
10 1966, 1966 PA 346, MCL 125.1422e, the qualified taxpayer that
11 claimed the housing opportunity tax credit under this section for
12 that same qualified project is also required to recapture a portion
13 of the housing opportunity tax credit as provided under this
14 subsection. The percentage of the housing opportunity tax credit
15 subject to recapture must be equal to the percentage of federal
16 low-income housing tax credit subject to recapture or otherwise
17 disallowed during the same tax year. Any housing opportunity tax
18 credits recaptured or disallowed must be added back to the income
19 tax liability of the qualified taxpayer that claimed the housing
20 opportunity tax credit in a like amount and must be included on the
21 annual return of the qualified taxpayer submitted for the tax year
22 in which the recapture or disallowance event is identified on the
23 federal return.

24 (3) If the qualified taxpayer is a member of flow-through
25 entity that was allocated all or part of a housing opportunity tax
26 credit for a qualified project under section 22e(6) of the state
27 housing development authority act of 1966, 1966 PA 346, MCL
28 125.1422e, the member may claim the member's allocated share of the
29 housing opportunity tax credit as reported on the allocation report



1 for the tax year against the member's tax liability under this
2 part.

3 (4) The housing opportunity tax credit allowed under this
4 section must be claimed after all other nonrefundable credits
5 allowed under this part. If the housing opportunity tax credit
6 allowed under this section for the tax year and any unused
7 carryforward of the housing opportunity tax credit allowed by this
8 section exceed the qualified taxpayer's tax liability for the tax
9 year, that portion that exceeds the tax liability for the tax year
10 must not be refunded but may be carried forward to offset tax
11 liability in subsequent tax years for 10 years or until used up,
12 whichever occurs first. If a qualified taxpayer has an unused
13 carryforward of a housing opportunity tax credit under this
14 section, the amount otherwise added under subsection (2) to the
15 qualified taxpayer's tax liability may instead be used to reduce
16 the qualified taxpayer's carryforward under this section.

17 (5) As used in this section:

18 (a) "Allocation report", "award", "credit period",
19 "eligibility statement", "federal low-income housing tax credit",
20 "housing opportunity tax credit", "owner", and "qualified project"
21 mean those terms as defined under section 22e of the state housing
22 development authority act of 1966, 1966 PA 346, MCL 125.1422e.

23 (b) "Authority" means the Michigan state housing development
24 authority created under section 21 of the state housing development
25 authority act of 1966, 1966 PA 346, MCL 125.1421.

26 (c) "Qualified taxpayer" means a taxpayer that is the owner of
27 a qualified project that was issued an eligibility statement for a
28 housing opportunity tax credit or a taxpayer that owns a direct or
29 indirect, through the owner or 1 or more other flow-through



1 entities, interest in a qualified project for which an eligibility
2 statement was issued for a housing opportunity tax credit and all
3 or a portion of that credit has been allocated to that taxpayer at
4 any time prior to filing an annual or amended return under this
5 part on which a housing opportunity tax credit under this section
6 is claimed.

7 Sec. 679. (1) Except as otherwise provided under this section,
8 for tax years that begin on and after January 1, 2027, a qualified
9 taxpayer with an eligibility statement and named in an allocation
10 report required under section 22e of the state housing development
11 authority act of 1966, 1966 PA 346, MCL 125.1422e, may, in a form
12 and manner as determined by the department, claim a housing
13 opportunity tax credit against the tax imposed under this part
14 equal to the lesser of the amount stated in the eligibility
15 statement for the applicable tax year or the qualified taxpayer's
16 allocated share stated on the allocation report for the applicable
17 tax year. A qualified taxpayer claiming a housing opportunity tax
18 credit under this section shall attach a copy of the eligibility
19 statement to the annual return filed under this part on which a
20 housing opportunity tax credit under this section is claimed.
21 However, if the owner of the qualified project for which an award
22 was approved has submitted a final cost certification and a request
23 for an eligibility statement to the authority, but the authority
24 has not yet approved the final cost certification and issued the
25 eligibility statement for the housing opportunity tax credit prior
26 to the qualified taxpayer filing its annual return under this part
27 on which a housing opportunity tax credit is claimed under this
28 section, the qualified taxpayer may claim the housing opportunity
29 tax credit based upon the amount of the housing opportunity tax



1 credit set forth in the reservation letter issued under section 22e
2 of the state housing development authority act of 1966, 1966 PA
3 346, MCL 125.1422e, for that qualified project. The qualified
4 taxpayer shall attach a copy of the reservation letter to that
5 annual return. Once the eligibility statement is issued, if the
6 amount of the housing opportunity tax credit allowed under that
7 eligibility statement is different than the reservation letter and
8 the amount actually claimed on the annual return for that same tax
9 year, then the qualified taxpayer must file an amended return to
10 adjust the amount of the housing opportunity tax credit claimed
11 accordingly and attach a copy of the eligibility statement to that
12 amended return. Alternatively, if the eligibility statement has not
13 been issued by the authority before the end of the qualified
14 taxpayer's tax year to which the housing opportunity tax credit
15 relates, the qualified taxpayer may defer claiming the housing
16 opportunity tax credit that tax year and claim the housing
17 opportunity tax credit on a tax return for the tax year in which
18 the authority issued the eligibility statement.

19 (2) If any portion of a federal low-income housing tax credit
20 claimed for a qualified project for which a housing opportunity tax
21 credit is also claimed under this section is required to be
22 recaptured or is otherwise disallowed during the credit period
23 under section 42 of the internal revenue code as reported under
24 section 22e(7) of the state housing development authority act of
25 1966, 1966 PA 346, MCL 125.1422e, the qualified taxpayer that
26 claimed the housing opportunity tax credit under this section for
27 that same qualified project is also required to recapture a portion
28 of the housing opportunity tax credit as provided under this
29 subsection. The percentage of the housing opportunity tax credit



1 subject to recapture must be equal to the percentage of federal
2 low-income housing tax credit subject to recapture or otherwise
3 disallowed during the same tax year. Any housing opportunity tax
4 credits recaptured or disallowed must be added back to the income
5 tax liability of the qualified taxpayer that claimed the housing
6 opportunity tax credit in a like amount and must be included on the
7 annual return of the qualified taxpayer submitted for the tax year
8 in which the recapture or disallowance event is identified on the
9 federal return.

10 (3) If the qualified taxpayer is a member of a flow-through
11 entity that was allocated all or part of a housing opportunity tax
12 credit for a qualified project under section 22e(6) of the state
13 housing development authority act of 1966, 1966 PA 346, MCL
14 125.1422e, the member may claim the member's allocated share of the
15 housing opportunity tax credit reported on the allocation report
16 for the tax year against the member's tax liability under this
17 part.

18 (4) The housing opportunity credit allowed under this section
19 must be claimed after all other nonrefundable credits allowed under
20 this part. If the housing opportunity tax credit allowed under this
21 section for the tax year and any unused carryforward of the housing
22 opportunity tax credit allowed by this section exceed the qualified
23 taxpayer's tax liability for the tax year, that portion that
24 exceeds the tax liability for the tax year must not be refunded but
25 may be carried forward to offset tax liability in subsequent tax
26 years for 10 years or until used up, whichever occurs first. If a
27 qualified taxpayer has an unused carryforward of a housing
28 opportunity tax credit under this section, the amount otherwise
29 added under subsection (2) to the qualified taxpayer's tax



1 liability may instead be used to reduce the qualified taxpayer's
2 carryforward under this section.

3 (5) As used in this section:

4 (a) "Allocation report", "award", "credit period",
5 "eligibility statement", "federal low-income housing tax credit",
6 "housing opportunity tax credit", "owner", and "qualified project"
7 mean those terms as defined under section 22e of the state housing
8 development authority act of 1966, 1966 PA 346, MCL 125.1422e.

9 (b) "Authority" means the Michigan state housing development
10 authority created under section 21 of the state housing development
11 authority act of 1966, 1966 PA 346, MCL 125.1421.

12 (c) "Qualified taxpayer" means a taxpayer that is the owner of
13 a qualified project that was issued an eligibility statement for a
14 housing opportunity tax credit or a taxpayer that owns a direct or
15 indirect, through the owner or 1 or more other flow-through
16 entities, interest in a qualified project for which an eligibility
17 statement was issued for a housing opportunity tax credit and all
18 or a portion of that credit has been allocated to that taxpayer at
19 any time prior to filing an annual or amended return under this
20 part on which a housing opportunity tax credit under this section
21 is claimed.

22 Enacting section 1. This amendatory act does not take effect
23 unless all of the following bills of the 103rd Legislature are
24 enacted into law:

25 (a) House Bill No. 5805.

26 (b) House Bill No. 5807.

